

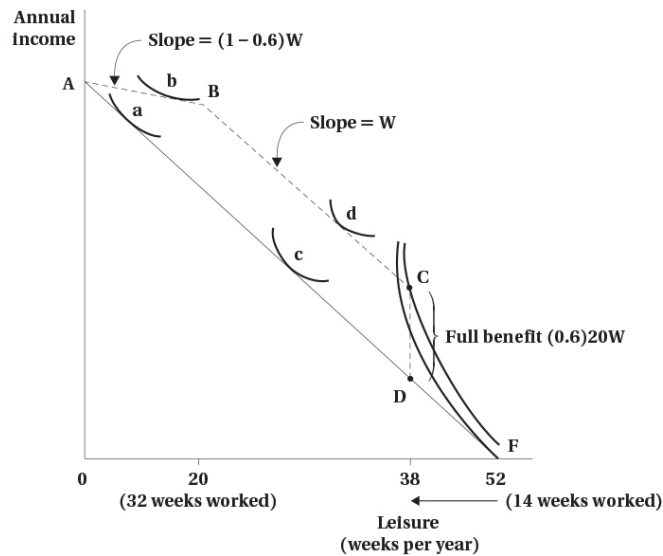
## Quiz 2

### ECON 300: Labour Economics

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February 05, 2026

**Instructions:** Choose the **best answer** for each question based on the following diagram.



**Income Constraint for a Simplified Unemployment Insurance Scheme**

- The segment of the budget constraint with slope  $(1 - 0.6)W$  represents:
  - The gross market wage
  - The value of leisure
  - The effective net wage while EI benefits are being reduced
  - The reservation wage
- The slope of the budget constraint between points **B** and **D** is equal to  $W$  because:
  - EI benefits are increasing in this region
  - Benefits have been fully exhausted
  - The worker is unemployed
  - Leisure has zero opportunity cost

3. Point **A** in the diagram corresponds to:
  - (a) Full-time work with no benefits
  - (b) Zero leisure and zero income
  - (c) Zero weeks worked with full EI benefits
  - (d) Partial employment with reduced benefits
4. Why is the budget constraint flatter between points **A** and **B** than between **B** and **D**?
  - (a) The wage rate is lower in that range
  - (b) The worker faces payroll taxes
  - (c) EI benefits are clawed back as earnings increase
  - (d) Leisure is a normal good
5. The difference between the gross wage  $W$  and the effective wage  $(1 - 0.6)W$  reflects:
  - (a) Employer payroll taxes
  - (b) Income taxes unrelated to EI
  - (c) The implicit tax created by the EI benefit reduction rate
  - (d) Minimum wage legislation
6. Which region of the budget constraint features the **highest effective marginal tax rate on earnings**?
  - (a) Between points **B** and **D**
  - (b) Between points **D** and **F**
  - (c) Between points **A** and **B**
  - (d) At point **F**
7. Relative to a situation with no EI program, the EI scheme shown is most likely to:
  - (a) Increase hours worked at all wage levels
  - (b) Reduce labour force participation for some individuals
  - (c) Increase the market wage paid by firms
  - (d) Eliminate income effects on labour supply
8. A worker who chooses a point like **B** rather than an interior point most likely does so because:
  - (a) The worker's marginal product is zero
  - (b) Leisure is inferior
  - (c) The worker faces a kink where work incentives change discretely
  - (d) The wage rate is higher at point **B**

9. If the EI replacement rate were increased from 0.6 to 0.8, which of the following would occur?
- (a) The EI segment of the budget constraint would become steeper
  - (b) The effective net wage while on EI would increase
  - (c) The budget constraint while on EI would become flatter
  - (d) The gross wage would rise
10. From a policy perspective, the key efficiency concern illustrated by this diagram is that EI:
- (a) Reduces firms' demand for labour
  - (b) Creates high effective marginal tax rates that discourage work
  - (c) Eliminates income risk entirely
  - (d) Raises long-run productivity

**End of Quiz**